

Family Bank Limited

Equity Research Report

Current Price	KES 31.45
Blended Fair Value	KES 14.20
Mechanical Signal	Hold
Uncertainty Tier	Extreme
Reference Date	2026-08-02

Investment Thesis

Family Bank Limited is a Kenyan commercial bank that traded over-the-counter for two decades before listing on the Nairobi Securities Exchange by introduction on 2026-06-23. On a standalone Bank basis as of FY2025, the institution reports total assets of KES 208.63 billion, total equity of KES 32.11 billion, customer deposits of KES 152.44 billion, and net loans of KES 105.90 billion, with book value per share of KES 19.31. These figures position Family Bank as a mid-tier player within Kenya's banking sector, sitting alongside NSE-listed peers such as Absa, Co-operative Bank, Equity Group, KCB Group, and NCBA.

On valuation, the model's blended fair value estimate is KES 14.20 per share, combining a dividend discount model (KES 7.72), residual income (KES 11.99), and a peer P/B regression (KES 33.69) under 50%/30%/20% weights. Against the current NSE traded price of KES 31.45, this blended fair value implies the stock is trading roughly 121.5% above the model's estimate of intrinsic worth — a substantial premium that reflects, in part, the newness and thinness of the FMLY listing and the wide dispersion across the three underlying valuation methods.

That dispersion itself frames the central tension for this name: the market-multiple approach (P/B regression) suggests meaningfully more value than the income-based approaches (DDM and residual income), leaving open whether Family Bank's post-listing scarcity premium and growth trajectory justify a re-rating toward peer trading multiples, or whether the more conservative income-based methods better capture underlying cash-generation reality — a question this report's Bulls Say/Bears Say section takes up directly.

Given this gap between traded price and blended fair value, the model's mechanical signal is currently **Hold** — the Extreme-uncertainty band around this valuation means the price would need to fall well below fair value to trigger a Buy signal mechanically, and while the premium is large, it does not by itself cross the Sell threshold. Whether that mechanical read holds up is addressed separately in the Recommendation section.

Bulls Say

- Capital position is a genuine strength (financial_health capital grade A): total capital ratio of 19.6% sits well above the 14.5% regulatory minimum, giving Family Bank headroom as CBK's core capital minimum rises to Shs 5bn by 31 December 2026 — a bar that is expected to force consolidation among weaker, thinner-capitalized peers — and continues climbing toward Shs 10bn by 2029, while Family Bank stays comfortably compliant.
- Liquidity is equally strong (grade A): the model's liquidity ratio starts at 53.7% in 2026 and rises to 60.5% by 2030, nearly triple the 20% regulatory floor, leaving room to fund loan growth without straining the balance sheet.
- The single largest swing factor in the valuation is cost of funds ($\pm 22.7\%$ on average PAT for a 100bp move in deposit pricing), and it is skewed favorably if policy-rate transmission continues to ease deposit costs following the 2025 CBR cuts referenced in the sector outlook.
- Underlying operating momentum was real going into the forecast: NIM expanded from 7.6% to 8.6% and cost-to-income improved from 74.8% to 69.4% in FY2025, with ROA rising from 2.1% to 2.6% — genuine operating leverage, not just balance-sheet growth — and the FY2025 capital raise (357m new shares via Restricted Equity Offer) further strengthened the base ahead of the NSE listing.
- The best-case scenario puts blended fair value at KES 18.52/share, roughly 30% above the KES 14.20 base case, driven mainly by residual-income upside (17.83 vs. 11.99 base) if loan growth and margins land at the top end of the sensitivity ranges.

Bears Say

- The valuation gap is extreme, not marginal: the stock trades at KES 31.45, +121.5% above the blended fair value of KES 14.20, landing in the model's "Extreme" uncertainty tier — even generous scenario assumptions don't close this gap (best case blended value is still only KES 18.52).
- The blended fair value itself is built on a wide method spread (max-to-min range of 2.17x the median across the three methods, with the DDM's KES 7.72 the low end and the P/B-regression's KES 33.69 the high end — more than four times the DDM value); strip out the P/B-regression outlier and the DDM/residual-income average is closer to KES 9.9, which would make the price gap even wider.
- Asset quality is the weak link in an otherwise strong balance sheet: NPL is graded C at a 10.77% ratio, and the model's own projected glide-path down to 7.65% by 2030 assumes a benign credit cycle that has not yet been tested through this listing.
- Profitability is set to normalize downward, not up: the model's own ROE series falls from 21.1% in 2026 to 15.0% by 2030 as elevated post-capital-raise returns fade — a declining-return trajectory that argues against paying a premium for growth today.
- The shares are newly and thinly listed (NSE debut 23 Jun 2026, roughly five and a half weeks old at the reference date) with no analyst consensus yet; the peer-average P/B multiple implies a value of only ~KES 21.48 versus the actual KES 31.45 traded price, suggesting a scarcity/listing premium rather than fundamentals is propping up the quote, compounded by flagged pre-2027 election macro uncertainty.

Economic Moat

Moat Rating: None

Family Bank shows no discernible structural advantage over its NSE-listed peers on the data available. Profitability trails the peer set: FY2025 ROAE of 16.5% sits below the ~19.6% simple average of nine listed peers (Absa 24.7%, Equity 26.5%, KCB 22.5%, NCBA 19.7%, Co-op 19.1%, I&M 18.0%, Stanbic 18.0%, StanChart 18.0%, DTB 10.3%), and the model's own forward ROAE path declines from 21.1% (2026) to 15.0% (2030), consistent with a bank facing margin compression rather than pricing power. On cost efficiency, Family Bank's 69.4% cost-to-income ratio (improved from 74.8% in FY2024) is well above the one directly comparable disclosed peer figure — NCBA at 52.3% — indicating a scale/efficiency gap rather than a cost advantage.

Switching-cost and brand sources of moat cannot be substantiated from the sourced material: no branch/agent network size, digital-channel penetration, or payroll-relationship data is available to evaluate deposit stickiness. What can be said is that Family Bank has operated in the Kenyan market for roughly two decades (OTC-traded since 2006) before its NSE listing by introduction on 2026-06-23, and has grown its deposit base to KES 152.4bn — a reasonable franchise-growth signal, but not evidence of switching costs peers lack. Banking-license barriers to entry apply industry-wide and do not differentiate Family Bank from the nine peers above, all of which operate under the same CBK regime. Capital strength (19.6% total CAR vs. a 14.5% regulatory minimum) is solid but not shown to be superior to peers, since comparable peer capital data was not sourced. Improving NIM (7.6%→8.6%) and cost-to-income trends are encouraging but describe a bank narrowing a gap, not one holding an edge.

Valuation, Sensitivity & Scenarios

Methodology. We value Family Bank using three complementary approaches: a Dividend

Discount Model (DDM), a Residual Income (Excess Return) model, and a Price-to-Book/ROE

regression against NSE-listed peers. The three are blended 50% DDM / 30% RI / 20% P/B-ROE,

reflecting DDM as the primary method for a dividend-paying bank and RI as a cross-check.

No single universal weighting formula exists in the literature for combining these methods; these weights are this model's own operationalization of a method hierarchy, with DDM weighted highest given banks' regulatory capital constraints on cash payouts, and book-value-anchored approaches (RI, P/B) supplementing rather than replacing it.

The numbers. DDM produces a fair value of KES 7.72/share, Residual Income KES 11.99/share, and the P/B-ROE regression KES 33.69/share, blending to KES 14.20/share. The spread across methods is extreme — the P/B-ROE estimate is more than four times the DDM estimate, a gap far beyond the ~50% threshold that would normally flag divergence. This signals genuine valuation uncertainty: the DDM and RI methods, anchored to cash payouts and current excess returns on equity, are far more conservative than the peer-multiple regression, which implicitly assumes Family Bank's returns and growth converge toward higher-multiple peers. The blended figure should be read as a central estimate spanning a wide plausible range rather than a tight point estimate.

Net income sensitivity. Three factors drive average projected PAT (base case: KES 7,466.9 million/year). Cost of funds (deposit pricing) — a macro factor tied to policy-rate transmission — has the largest swing, moving average PAT by -22.7%/+22.7% on a ± 100 bp parallel shift in deposit cost. Loan/balance-sheet growth, driven by the macro credit-demand cycle (0.70x worst-case vs. 1.20x best-case growth multiplier), moves PAT by -19.5%/+14.0%, with an asymmetric downside skew. Asset yield (lending rate), a bank-specific repricing factor, moves PAT by -15.0%/+15.0% on the same ± 100 bp shift. Cost of funds is therefore the single largest swing factor, underscoring the bank's sensitivity to deposit-pricing competition and policy-rate transmission over its own lending-rate repricing ability.

Scenario comparison. Blended per-share value ranges from KES 8.34 in the Worst case to KES 18.52 in the Best case, against a Base case of KES 14.20 — a Best-to-Worst spread of KES 10.17, or roughly 122% of the Worst-case value. This wide range reflects compounding uncertainty across all three valuation methods (DDM ranges KES 5.16-9.58, RI ranges KES 3.98-17.83, P/B-ROE ranges KES 22.84-41.90 across the same scenarios) and should be read as a plain statement of projection uncertainty rather than a tight confidence band around the base case.

Financial Health

Overall Grade: C

The overall grade is the worst of three sub-grades — capital, liquidity, and asset quality (NPL ratio) — each assessed against a simple, rule-based test: capital and liquidity are graded on their buffer above the CBK regulatory minimum, while the NPL ratio is graded against fixed absolute bands. There is no weighting or model behind this; it is a straightforward pass/fail-style check, and here the weakest link sets the overall score.

Capital: A. The total capital ratio is projected at 19.6% for the nearest projected year (2026), against a CBK minimum of 14.5% — a buffer of roughly 5 percentage points.

Liquidity: A. The liquidity ratio is projected at 53.7%, well above the 20% CBK minimum — a buffer of over 30 percentage points.

Asset quality (NPL): C. The projected NPL ratio is 10.8% for 2026, and this is the sub-grade pulling the overall score down to C despite comfortable capital and liquidity buffers. That matters for the investment case: Family Bank is not capital- or liquidity-constrained, but loan-book credit quality is the binding weakness, and a bank trading at a discount on paper can still disappoint if provisioning has to catch up with non-performing loans. For context, sector-wide gross NPL peaked at 17.6% in mid-2025 before moderating, so Family Bank's 10.8% sits meaningfully better than the industry trend, even though it is not yet "clean" on an absolute basis.

This snapshot reflects the nearest projected year (2026) only, not a long-run average.

The projection shows steady improvement across the horizon — capital holds near 19.4–19.8%, liquidity rises to over 60% by 2030, and the NPL ratio declines to 7.7% by 2030 — so the asset-quality drag on the grade is expected to ease over the forecast period rather than persist.

Market Consensus Comparison

No sell-side analyst consensus exists for Family Bank Limited (ticker FMLY) as of this report's 2026-08-02 reference date. The stock listed on the Nairobi Securities Exchange by introduction on 2026-06-23 at KES 18.00/share, after decades of trading over-the-counter — roughly 5.5 weeks of exchange history is too short for sell-side coverage to have developed, and a web search turned up no published target price or rating. We therefore do not claim a consensus where none exists.

As a stand-in, we use a proxy: the simple average trading P/B multiple of nine NSE-listed peer banks (Absa, Co-op Bank, DTB, Equity Group, I&M Group, KCB Group, NCBA, Stanbic Holdings, StanChart), which works

out to roughly 1.11x. Applied to Family Bank's own book value per share of KES 19.31, this implies a proxy value of approximately **KES 21.48** — explicitly a peer-multiple proxy, not a real market consensus target.

This model's own blended fair value is **KES 14.20/share**, roughly **34% below** the KES 21.48 peer-multiple proxy. On this comparison, the model is more bearish than the market proxy — largely a function of the DDM and residual-income legs (KES 7.72 and KES 11.99/share respectively) pulling the blend well below the pure P/B-regression estimate (KES 33.69/share), which alone would sit above the peer proxy.

The more consequential divergence is against the actual traded price of **KES 31.45/share** (as of 2026-07-31), which implies a market P/B of ~1.63x — well above both the peer-average P/B (~1.11x) and this model's blended fair value, sitting **+121.5%** above it. The traded price also sits about 46% above the peer-multiple proxy itself. Given the stock's 52-week range of KES 18.00–50.00 since listing, this gap is consistent with a listing-related scarcity/liquidity premium and momentum/growth optimism not yet reflected in either peer trading multiples or this model's fundamentals-based blend, rather than a reconcilable mispricing. We treat the peer proxy as a conservative anchor and flag — rather than paper over — the width of the gap to the traded price.

Price vs. Fair Value & Recommendation

Recommendation: Sell

Family Bank last traded at KES 31.45, versus a blended fair value of KES 14.20 per share — a gap of +121.5%. That blend weights three methods (DDM 50%, residual income 30%, P/B regression 20%): DDM points to KES 7.72, residual income to KES 11.99, and the P/B regression — anchored on peer multiples — to KES 33.69. The wide spread between these methods (a method-spread ratio of ~2.17) places this call in the "Extreme" uncertainty tier, where Morningstar's own margin-of-safety convention requires the price to be up more than 300% above fair value before a Sell is mechanically triggered on arithmetic alone. At +121.5%, this name sits inside that band, so the raw signal is Hold.

The reason to override that Hold is specific to how this stock is currently priced. Family Bank listed on the NSE by introduction only on 2026-06-23 — about 5.5 weeks before this valuation date — after decades trading OTC. No analyst coverage or consensus target exists yet for a name this newly seasoned. As a market-implied check, applying the peer-average trading P/B (1.11x, across nine NSE-listed peers) to Family Bank's own book value of KES 19.31 implies a value of only KES 21.48 — well below the KES 31.45 traded price (itself a P/B of ~1.63x). That gap is consistent with a listing-related scarcity/liquidity premium: a thin free float and elevated post-introduction volatility (52-week range KES 18.00–50.00) inflating the price above what peer multiples or fundamentals currently support. As trading matures, free float deepens, and analyst coverage initiates, this premium should compress toward peer-implied and fundamental levels — the direction the +121.5% mispricing already implies.

Timing is genuinely uncertain: there is no price history or beta yet to gauge how quickly this normalizes, so this is a valuation-anchored Sell rather than an event with a fixed date.

Risks & Uncertainty

The blended fair value of KES 14.20/share is sensitive to three factors tested in the model, each measured as a swing in average projected PAT. A slowdown in loan/balance-sheet growth (0.70x multiplier under the worst case vs. 1.20x best case) swings average PAT by -19.5%/+14.0%. A 100bp adverse parallel shift in asset yields (lending rates) cuts average PAT by 15.0%, symmetric with the upside from a 100bp favorable shift. The single largest lever is cost of funds: a 100bp adverse move in deposit pricing — plausible given CBK policy-rate transmission — cuts average PAT by 22.7%, with an equivalent 22.7% uplift if funding costs fall instead. None

of these are remote tail scenarios; they sit within the range Family Bank has already experienced across 2023-2025.

The valuation itself carries wide method disagreement: DDM (KES 7.72), Residual Income (KES 11.99), and P/B regression (KES 33.69) span a method_spread of 2.17x, placing the call in the model's "Extreme" uncertainty tier. This is not noise — it reflects genuine disagreement about whether Family Bank should be priced on cash distributions, accounting residual profitability, or peer trading multiples, and the blended figure should be read as a central estimate inside a very wide band, not a precise target.

Macro/regulatory risk is elevated: pre-2027 election uncertainty is flagged as a live risk factor in the sector outlook, industry NPL peaked at 17.6% in mid-2025 (still ~16-17%, well above Family Bank's own 10.8% modeled 2026 level), and rising core-capital minimums (Shs 10bn by 2029) are expected to force sector consolidation, with the full Risk-Based Credit Pricing Model rollout by February 2026 an added source of yield-assumption uncertainty.

Finally, Family Bank listed on the NSE by introduction only on 2026-06-23, roughly 5.5 weeks before this report's reference date. There is no analyst consensus target or coverage yet, trading history is thin, and the stock's 52-week range (KES 18.00-50.00) points to high volatility. The traded price of KES 31.45 sits well above both the blended fair value and the peer-multiple proxy of KES 21.48, a gap plausibly driven by listing scarcity or growth optimism that this model does not attempt to quantify.

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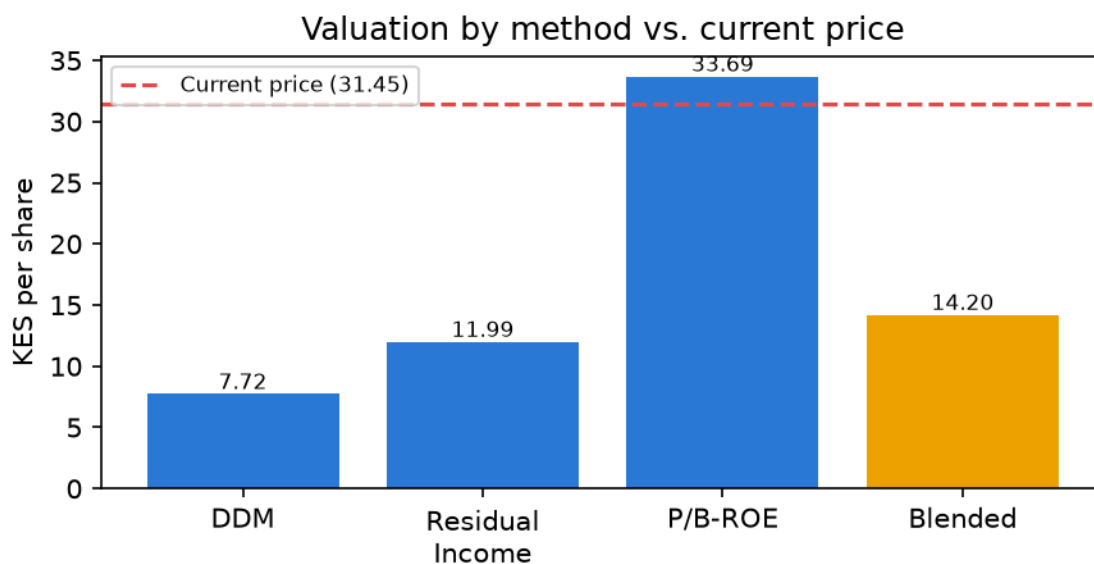
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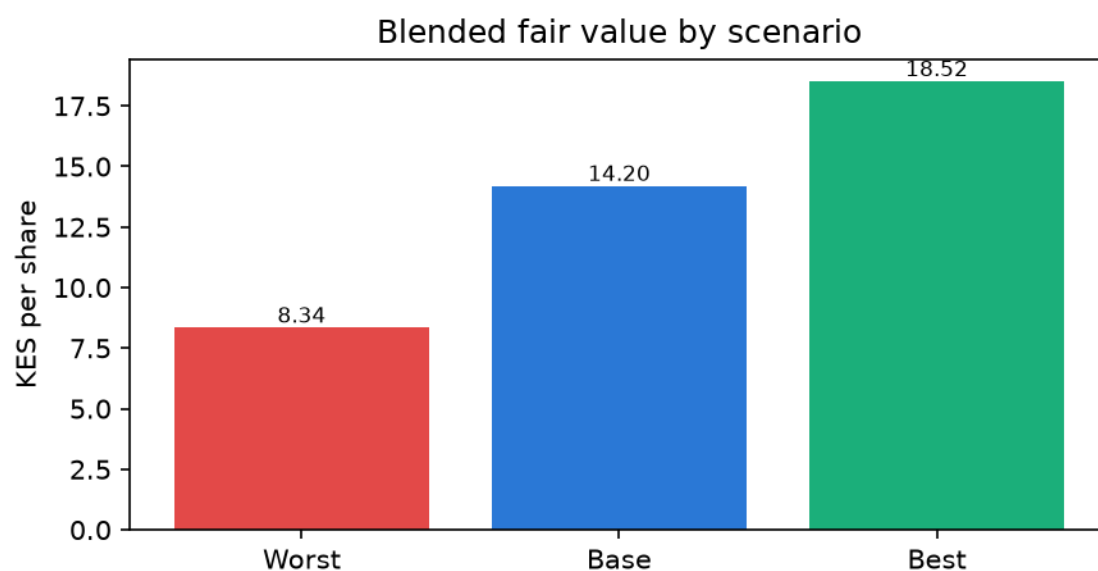
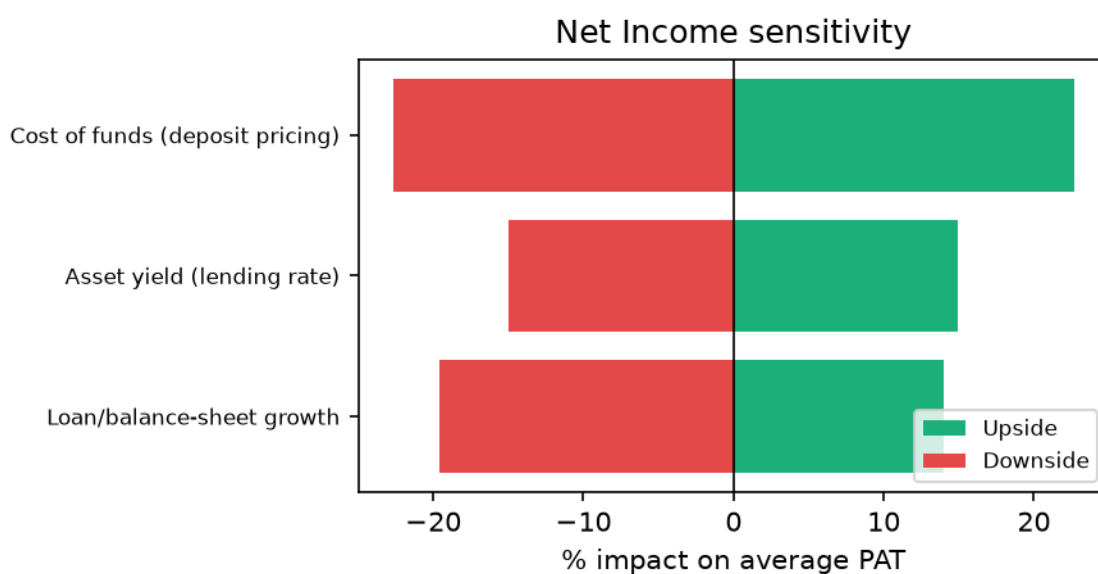
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Disclaimer

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Charts





Peer Comparables

Bank	EPS FY25	ROAE FY25	Payout FY25	P/B
Absa	4.2	24.7%	48.6%	1.69
Co-op Bank	5.0	19.1%	49.6%	1.18
DTB	33.7	10.3%	26.7%	0.36
Equity Group	19.1	26.5%	30.2%	0.96
I&M Group	10.8	18.0%	34.8%	0.64
KCB Group	20.8	22.5%	33.7%	0.73
NCBA	14.2	19.7%	50.0%	1.20

Stanbic Holdings	34.7	18.0%	64.4%	1.44
StanChart	32.5	18.0%	95.5%	1.81